



Fundamentals of Human Resource Management (HRM1)

Module 3: Theories and Models of HRM

Lesson 1: Theories of HRM

Lesson Notes

KMVTECHUG

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Motivational Theories in HRM

A theory is a set of principles that explain a phenomenon or predict outcomes, usually based on research and evidence. In HRM, theories help explain employee behaviour, motivation, and performance. Four motivational theories are especially influential in shaping how HR designs pay, recognition, and engagement practices.

Maslow's Hierarchy of Needs proposes a five level hierarchy of human needs, physiological, safety, love and belonging, esteem, and self actualisation, that influences employee motivation and behaviour (Maslow, 1943). As employees progress through these levels, their motivations and priorities change. A university graduate just starting their first job in Kampala may be primarily motivated by physiological and safety needs, such as stable pay and job security, while a senior manager further along in their career may be more driven by esteem and self actualisation, such as recognition and meaningful work.

Herzberg's Two Factor Theory distinguishes between motivators, such as recognition and growth opportunities, and hygiene factors, such as salary and working conditions (Herzberg, 1968). Motivators drive job satisfaction, while hygiene factors only prevent dissatisfaction when present, and cause dissatisfaction when absent. This explains why simply raising salaries at a Ugandan manufacturing firm may stop complaints without actually making staff more motivated, since salary is a hygiene factor rather than a motivator.

Vroom's Expectancy Theory explains how individual expectations, performance, and outcomes influence motivation and decision making (Vroom, 1964). Employees are motivated when they believe their effort will lead to the outcome they want. A sales officer at a Kampala based insurance firm will work harder toward a bonus target only if they genuinely believe hitting the target is achievable and that the bonus will actually be paid.

Adams' Equity Theory focuses on perceived fairness in motivation and job satisfaction (Adams, 1963). Employees compare their own inputs and outcomes to those of others, and feelings of inequity can lead to demotivation. Two accountants doing the same work at a Ugandan bank, one earning noticeably less than the other for no clear reason, illustrates how equity theory predicts the lower paid accountant will become demotivated, regardless of what the actual salary figure is.

Reflect: Of these four motivational theories, Maslow, Herzberg, Vroom, and Adams, which do you think best explains motivation among young Ugandan graduates entering their first jobs, and why?

Organizational Behavior Theories in HRM

McGregor's Theory X and Theory Y presents two contrasting assumptions about human nature and motivation, which directly shape management style (McGregor, 1960). Theory X assumes employees are inherently lazy and need close supervision, leading to strict, controlling management practices. Theory Y assumes employees are motivated and capable of self direction, leading to more participative, trust based management. A supervisor at a Ugandan construction site who insists on checking every worker's task constantly is operating from Theory X assumptions, while a supervisor who sets clear goals and lets an experienced team organise its own daily work is operating from Theory Y assumptions.

Likert's Management Systems Theory categorises management styles into four systems, ranging from exploitative authoritative, the most controlling, to participative group, the most collaborative, with the latter generally considered the most effective for long term performance (Likert, 1967). Organisations that involve employees in decisions affecting their own work, rather than dictating decisions from the top down, tend to see stronger engagement and lower turnover over time.

Reflect: Think of a manager or supervisor you have encountered. Would you describe their approach as closer to Theory X or Theory Y, and what effect did that seem to have on the people working under them?

Strategic HR Theories

Three strategic HR theories explain how HR contributes to organisational competitiveness at a higher level than individual motivation or management style.

The Resource Based View of HRM sees human resources as a source of sustained competitive advantage, since an organisation's unique skills, knowledge, and abilities are difficult for competitors to copy, unlike equipment or capital that can often be purchased by anyone (Barney, 1991). A Ugandan coffee exporter whose staff have built deep, hard to replicate relationships with international buyers over many years holds a competitive advantage rooted in people, not just in physical assets.

Human Capital Theory recognises the value of investing in employee skills, knowledge, and abilities as a form of capital, much like investing in machinery or infrastructure (Becker, 1964). Organisations that invest in training and development are, in effect, investing in an asset that increases their long term capacity.

The AMO Theory, standing for Ability, Motivation, and Opportunity, highlights that all three must be present for employees to perform effectively (Appelbaum, Bailey, Berg, & Kalleberg, 2000). An employee may have the ability and motivation to perform well, but without the opportunity, for example being given the right tools, information, or authority, that potential goes unused.

Bringing the Theories Together

This lesson covered nine theories across three categories: motivational theories explaining individual drivers, organisational behaviour theories explaining management style, and strategic HR theories explaining organisation wide competitiveness.

A useful way to hold onto all nine: motivational theories explain the employee, organisational behaviour theories explain the manager, and strategic theories explain the organisation as a whole. Good HR practice usually draws on more than one level at once, since motivating an individual, managing them well day to day, and building organisational advantage are three separate but connected challenges.

The next lesson moves from theories, which explain why things happen, to models, which provide practical frameworks HR professionals actually use to design real HR systems.